

**FISCAL YEAR 2024-2025
DEVELOPMENT IMPACT FEES ANNUAL REPORT**

The Laguna Hills City Council has adopted three types of development impact fees that it imposes on development projects: Public Art Fees, Traffic Mitigation Fees, and Quimby Act Fees. Pursuant to the Mitigation Fee Act, as provided in Section 66006 of the California Government Code, the City is required to make available for public review a summary of its development impact fees.

Type of Mitigation Fee

The City imposes three types of development impact fees:

- *Public Art Fees:* This fee provides funding for Public Art throughout the City's Urban Village, thereby enhancing the cultural and aesthetic environment of the City and to encourage creativity, education, and appreciation of the arts.
- *Traffic Mitigation Fees:* This fee provides funding for additional or improved traffic signal, operation, and infrastructure improvements for which the demand is generated by new development within the Urban Village.
- *Quimby Act Fees:* This fee provides funding for additional or improved park and/or recreation facilities improvements for which the demand is generated by new residential development within the City.

Amount of Fee

The amounts of the development impact fees are described below:

- *Public Art Fee:* The minimum amount for the public art component or in-lieu fee shall be required of all new development with a total project construction cost of \$250,000 or more pursuant to the following formula:
 - $TCC \times 0.005 = \text{Value of Public Art component or in-lieu fee}$
 - $TCC = \text{Total Construction Cost (permit valuation)}$
 - $0.005 = \text{Minimum value shall be 0.5\% of TCC}$
- *Traffic Mitigation Fee:* The fee shall be three thousand nine hundred fourteen dollars (\$3,914.00) per each new PM peak hour trip as determined by the City Engineer based upon an approved traffic study.
- *Quimby Act Fee:* The amount of land or in-lieu fee to be dedicated shall be determined pursuant to the following formula:
 - $A = 5(DU \times PPD) / 1,000$
 - $\text{In-lieu fee} = A \times FMV$
 - $A = \text{Acres required to be dedicated as parkland}$

- 5.0 = City's park acreage standard (for every 1,000 residents)
- DU = Dwelling Units (number of)
- FMV = Fair Market Value (for one acre of parkland)
- PPD = Persons Per Dwelling (as applicable for the subdivision and type of dwelling units constructed)

Summary of Mitigation Fee Activity

A summary of each type of mitigation fee for fiscal year ending June 30, 2025, is described in the table below:

	Public Art Fees	Traffic Mitigation Fees	Quimby Act Fees
Revenues			
Dev. Impact Fees	\$21,812.62	\$0.00	\$0.00
Interest	\$23,368.19	\$0.00	\$94,626.89
Total Revenue	\$45,180.81	\$0.00	\$94,626.89
Expenditures	\$133,000.00	\$0.00	\$259,848.83
Transfers In/Out	\$0.00	\$0.00	\$0.00
Change in Fund Balance	<\$87,819.19>	\$0.00	<\$165,221.94>
Beginning Fund Balance	\$569,701.73	\$0.00	\$2,110,904.18
Ending Fund Balance	\$481,882.54	\$0.00	\$1,945,682.24

The ending balances were arrived at by adding the fees collected and interest earned to each account and then subtracting the expenditures. The Public Art Fees fund collected \$21,812.62 in new fees (related to one development project at the hospital area) and \$23,368.19 in interest earnings, with an expenditure of \$133,000.00, for a total ending balance of \$481,882.54. The Traffic Mitigation Fees fund had no activity during the fiscal year ending June 30, 2025, and has zero beginning and ending balances. The Quimby Act Fees fund collected \$0 in new fees and \$94,626.89 in interest earnings, with \$259,848.83 in expenditures, for a total ending balance of \$1,945,682.24.

Expenditures

For this section, State law requires an identification of each public improvement on which fees were expended and the amount of expenditures on each improvement, including the total percentage of the costs of the public improvement that was funded with fees. Expenditures in the Quimby Act fund for the fiscal year were \$259,848.83. During FY 2023-24 and FY 2024-25, the City contracted with several qualified park design companies for park improvement plans and playground replacement design. These design services are the preliminary stages that must happen before construction can occur. There were no expenditures in FY 2024-25 from the

Traffic Mitigation Fees fund. Expenditures in the Public Art Fees fund include \$133,000.00, which solely consisted of progress payments to the artist Brittany Ryan for her work on the 3/5 Marines bronze sculpture planned outdoors at the Civic Center.

Construction Commencement Date for Incomplete Improvements

In regard to the Public Art funds, the commissioned sculptor is presently designing and modeling the artwork, as well as working with the foundry to eventually cast the bronze monument. Completion of this artwork is expected in a couple of years, likely in fiscal year 2026-2027. In regard to the Quimby Act funds, the design work is currently underway for park improvements. Construction for park improvements is anticipated in fiscal years 2025-2026 and 2026-2027.

Interfund Transfers and Loans

No interfund transfers were made and no collected fees were loaned to another account in FY 2024-25.

Amount of Refunds

No refunds of any of these funds were made or required in FY 2024-25.

Fifth Year Findings

Pursuant to Government Code Section 66001 (d) (1), fifth year findings must be made with respect to that portion of the account or fund remaining unexpended after the fifth fiscal year following the first deposit into the account or fund, and every five years thereafter. Fifth year findings are not yet necessary, since the available remaining fund balances have not yet reached the five-year point. The funds that comprise the ending balances in both the Public Art fund and the Quimby Fees fund were collected in FY 2022-23.